

31 Provisions

4 primary questions | Oldest to newest

2026 objectives: 4.5.1-4.5.2

2 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2009 Q5	16 marks
CA1-P1 April 2011 Q4	17 marks
CP1-P1 September 2020 Q6	9 marks
CP1-P1 April 2023 Q3	6 marks

CA1-P1 | September 2009 | Q5

Current topic | 16 marks total | Original PDF p3

Related: Ch 32, Ch 22.

- 5** A large company has sponsored a funded defined benefit scheme for many years. Benefits on retirement are in the form of pensions. The actuary to the scheme is responsible for calculating the provisions required for various purposes. Provisions are defined as the value of accrued past service liabilities in the scheme.

- (i) Outline the reasons why provisions are calculated. [5]
- (ii) Explain why different reasons for calculating the provisions may lead the actuary to use different assumptions for the relevant calculations. [5]

The scheme contains various guarantees and options. In particular, there is an option for members to exchange part of their pension at retirement for a tax-free cash sum calculated by using guaranteed conversion factors.

- (iii) Describe how the provisions should take into account any guarantees and options. [3]
- (iv) Discuss the approaches that could be taken when valuing the possible impact of the cash sum option. [3]

[Total 16]

CA1-P1 | April 2011 | Q4

Current topic | 17 marks total | Original PDF p3

Related: Ch 33, Ch 15.

- 4** (i) List reasons why a benefit scheme may need to calculate provisions. [4]

A large benefit scheme has recently completed a valuation for supervisory purposes. The basis for the supervisory valuation is more prudent than a best estimate of future experience. The scheme is required to disclose a summary of the supervisory valuation report to beneficiaries.

- (ii) List the information from the supervisory valuation report that should be disclosed to beneficiaries. [4]

The scheme's investment advisor is about to conduct a review of the scheme's investment strategy.

- (iii) Discuss why the results of the supervisory valuation may not be appropriate for use by the investment advisor in conducting this review. Your answer should include commentary both on relevant specific assumptions and on broader general issues. [9]

[Total 17]

CP1-P1 | September 2020 | Q6

Current topic | 9 marks total | Original PDF p3

Related: Ch 1.

- 6** (i) Outline the reasons why an insurance company needs to calculate provisions. [3]

One of the largest insurance companies located in a particular country has received an offer to be purchased by an overseas private equity firm.

- (ii) Identify the different stakeholders involved in the proposed purchase, commenting for each how they might prefer the company's provisions to be calculated. [6]
[Total 9]

CP1-P1 | April 2023 | Q3

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** An insurance company sells products in a country where it is not compulsory for provisions to be held for its products.

The company has managed to pay all of its claims in full as they arise.

Suggest possible reasons why the company has managed to pay all of its claims in full to date.

[6]